Bloom Energy (BE)

Earnings Update | 3Q26 | 23 October 2026 | Josh

Post-call version (22 October 2026 call; transcripts via Motley Fool and Investing.com). No knowledge base detected. Proceeding with web-retrieved documents only (SEC EDGAR 8-K, 10-Q; call transcripts). History covers 3Q25 to 3Q26 from filings; Q&A history covers 2Q26 and 3Q26 calls.

1 Executive snapshot

Consensus thesis. Investors own Bloom as the default supplier of fast, on-site, non-combustion power for AI data centers and pay about 42x FY27 consensus EPS for revenue doubling in FY26 and rising about 63% in FY27 at mid-30s margins.

Thesis status: Intact. Versus expectations: Quarter: beat (revenue $1,235.8mn vs $1.07bn consensus, +15%; non-GAAP EPS $0.94 vs $0.67). Outlook: above (FY26 revenue guide $4.4bn to $4.6bn vs $4.12bn consensus). Stock: closed $217.77 (-8.7%) on 22 October before the release, $206.49 (-5.2%) after hours, $209.80 pre-market on 23 October.

Biggest changes

- Third guide raise: FY26 revenue $4.4bn to $4.6bn (from $3.9bn to $4.2bn), non-GAAP operating income $960mn to $1,030mn, EPS $3.10 to $3.40; implied 4Q revenue $1.35bn to $1.55bn vs $1.21bn consensus.
- Clean margin stepped up: non-GAAP gross margin 34.5% with no material tariff recovery in the quarter, against 30.8% on a clean basis in 2Q26; product margin 38.4%.
- Growth now consumes cash: operating cash flow -$27.1mn and FCF -$180.6mn, as contract assets rose $430.3mn and inventory $170.4mn; net cash of about $137mn at 30 June became about $39mn of net debt.
- Concentration fell but shifted to the financier: the largest customer was 43% of revenue (73% in 2Q26), and a Brookfield related-party vehicle was 26%.
- Still no backlog number: RPO rose 49% to $661.2mn, but management deferred any backlog figure to 4Q guidance, and Jupiter was not mentioned on the call.

Investor takeaway. The consensus view holds and FY26 earnings power is higher than modelled (guide midpoints about 9% above revenue and 20% above EPS consensus), but growth is now financed by Bloom's own working capital, so the stock should be judged on cash conversion and a disclosed backlog rather than on revenue beats; credit quality holds for now on $2.5bn of cash and 0% notes, but the net-cash cushion is gone.

What to monitor next quarter: (1) 4Q26 operating cash flow of at least about $102mn (the CFO's '$375mn-plus' FY baseline) and conversion of $858.6mn of contract assets. (2) A backlog figure and FY27 outlook with 4Q results, against $6.71bn FY27 revenue consensus. (3) Jupiter air-permit hearing (7 December) and any 4Q deliveries that need permits before a financier can buy.

2 Key changes this quarter

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 Second-half ramp	FY26 near top of $3.9bn-$4.2bn; 3Q about $1.07bn	3Q $1,235.8mn; guide raised to $4.4bn-$4.6bn	Confirmed	8-K Ex.99.1
P2 Margins	About 34% non-GAAP gross; $800mn-$900mn op. income	34.5% gross without tariff help; op. income guide $960mn-$1,030mn	Confirmed	8-K; 10-Q
P3 Order book for FY27	Oracle, AEP/Google, Aligned, Brookfield support $6.71bn FY27	No backlog figure; RPO $661.2mn (+49% QoQ); figure deferred to 4Q	Unresolved	10-Q Note 3; call
P4 Financing model and cash	Financiers take delivery risk; profit becomes cash ($375mn+ OCF)	OCF -$27.1mn; contract assets +$430.3mn; sale to financier needs permits	Challenged	8-K; 10-Q MD&A
P5 Capacity and supply	Factory additions pay back fast; scandium not a constraint	Capex $153.5mn; '5 gigawatt milestone' cited; supply 'sufficient' per 10-Q	Confirmed	Call; 10-Q

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	Observation
Emphasized more	Broadening demand: utilities rate-basing fuel cells, U.S. Army leases, first Texas units, C&I survey, international partners; carbon capture, 800V DC and CHP; 'self funding'.
Less or dropped	Jupiter and New Mexico not mentioned; no FCF guide (dropped in 2Q26); no backlog figure; no quarterly capacity numbers.
KPIs more important	Contract assets, OCF, customer deposits ($661.4mn), RPO, related-party share of revenue and receivables.
Risks up / down	Up: working-capital funding, permit-linked revenue timing. Down: single-customer concentration (73% to 43%), margin quality.

Analyst focus matrix (Trevor)

Topic	2Q26	3Q26	Trend
Capacity and capex	2	2	Persistent
Backlog and orders	0	1	New
Cash flow and working capital	1	2	Rising
Margins, pricing, cost	1	3	Rising
Delivery timing and project delays	2	2	Persistent
Financing partners (Brookfield)	1	0	Fading
Permits and Jupiter	0	0	Not asked
Technology (CCS, 800V DC, CHP)	1	3	Rising
New markets (utilities, international)	0	2	New

Counts are questions and follow-ups per call. The CFO pre-empted the cash question in prepared remarks. No analyst asked about Jupiter, the related-party share of revenue or the warranty reserve.

Trevor's watch-list

Analyst	Qtr	Question (trimmed)	Answer in brief	Rating
Nicholas Amicucci, Evercore ISI	2Q26	Why was FCF guidance dropped?	Aligned to formal guide; '$375mn plus' OCF is the new baseline	Direct
Nicholas Amicucci, Evercore ISI	3Q26	What drove the $27mn operating cash use?	Working capital (inventory, contract assets, receivables); 'self funding'; YTD FCF +$42mn; expects FCF positive	Direct
Colin Rusch, Oppenheimer	2Q26	Pricing evolution and target margins?	No targets; cited 22% service margin, repeat orders	Deflected
Colin Rusch, Oppenheimer	3Q26	How do contract assets convert to cash?	Focus is on turning them; may grow while turning; no dates	Partial

Trevor chose Amicucci as the analyst who presses most on funding and cash across the two calls held, and added Rusch for contract assets. Later evidence: 9M OCF $272.9mn, so 4Q needs about $102mn to reach the $375mn baseline. — Trevor

3 KPI dashboard

Metric ($mn unless stated)	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue	1,235.8	1,065.4	519.0	+16% / +138%	[↑]
Product revenue	1,073.6	935.4	384.3	+15% / +179%	[↑]
Service revenue	67.6	69.0	58.6	-2% / +15%	[~]
Non-GAAP gross margin	34.5%	34.3% (30.8% clean)	30.4%	+0.2pp / +4.1pp	[↑]
Product non-GAAP gross margin	38.4%	37.2%	35.9%	+1.2pp / +2.5pp	[↑]
Non-GAAP operating income	285.7	239.6	46.2	+19% / +518%	[↑]
Adjusted EBITDA	299.5	253.4	59.0	+18% / +407%	[↑]
Non-GAAP diluted EPS ($)	0.94	0.78	0.15	+21% / +527%	[↑]
Operating cash flow	-27.1	226.4	19.7	n.m.	[↓]
Capex (PP&E)	153.5	51.6	12.3	+197% / n.m.	[↓]

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Metric ($mn unless stated)	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Free cash flow	-180.6	174.8	7.4	n.m.	[↓]
Contract assets (total, period end)	858.6	428.3	241.2 (Dec 25)	+$617.5mn 9M	[↓]
Customer deposits + deferred revenue	754.4	445.0	143.8 (Dec 25)	+70% QoQ	[↑]
RPO, product and installation	661.2	442.4	394.4 (Dec 25)	+49% QoQ	[↑]
Largest customer, % revenue	43%	73%	n.a.	-30pp	[↑]
Related party (Brookfield), % revenue	26%	n.a.	n.a.	9M: 23%	[?]
Cash and equivalents	2,486.7	2,666.9	2,454.1 (Dec 25)	-7% QoQ	[↓]
Recourse debt principal	2,522.8	2,527.8	2,674.8 (Dec 25)	~flat	[~]
Shares outstanding (mn)	295.5	n.a.	280.0 (Dec 25)	+5.5% YTD	[↓]

Flags: for capex, debt and share count, [↓] means worse for shareholders. 'Clean' 2Q26 margin excludes the $37.4mn tariff recovery. n.a. = not disclosed in documents read.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
Revenue FY26	$4.4bn-$4.6bn	Raised from $3.9bn-$4.2bn	Above ($4.12bn)	YTD results and demand; a few year-end deliveries set the landing point	Implied 4Q $1.35bn-$1.55bn
Non-GAAP gross margin	~34%	Maintained	n.a.	Line ramp and expedites offset cost-downs	Conservative after 34.5% in 3Q
Non-GAAP op. income	$960mn-$1,030mn	Raised from $800mn-$900mn	n.a.	Operating leverage; non-GAAP opex about 11% of 3Q revenue	Implied 4Q $305mn-$375mn
Non-GAAP EPS	$3.10-$3.40	Raised from $2.55-$2.85	Above ($2.71)	As above	FY27 $4.94 consensus now looks low
Operating cash flow	No guide; '$375mn plus' baseline (2Q call)	Not repeated; CFO expects FCF positive	FY26 FCF $386mn (pre-print)	3Q a timing effect; YTD positive	Needs ~$102mn in 4Q
Backlog / FY27	Not given	Deferred to 4Q	FY27 revenue $6.71bn	'Faster than revenue'	Key open item

Underlying economic performance: improving on earnings and margins; weakening on cash conversion.

Management credibility: Improving. Three raises in 2026 and a clean margin above guide; the one cash commitment (the '$375mn-plus' baseline) is not yet met and is the test for 4Q. Weight current P&L guidance highly, cash statements less.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Manufacturing capacity	Strong	Strengthening	CEO calls 5 GW 'just a milestone'; capex $153.5mn; ~600 line staff at 1 GW and 5 GW	Supply is not the bottleneck; upside to FY27 if orders exist
Permitting advantage	Good	Mixed	Non-combustion helps (New Jersey planning approvals in 3 months), but 10-Q says large air permits take longer	Speed edge narrows at GW scale
Customer breadth	Improving	Strengthening	Top customer 73% to 43%; AEP/Google, Nebius, Army, utilities	Lower single-name risk
Pricing power	Good	Stable/up	Product margin 38.4% clean; 'pricing strength' qualitative only	Supports mid-30s margins
Financing ecosystem	Essential	Mixed	Brookfield vehicle 26% of revenue; 10-Q says financing for data centers is harder	Revenue depends on financiers' appetite

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5-10 year view: Bloom has become a standard option for on-site power, and capacity plus cost-down protect margins. The durable risk is not technology but that its customers' financiers set the pace: a buyer who needs permits and project debt before taking delivery makes Bloom's revenue as cyclical as data center finance.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Working capital and cash conversion	Watch	High	Up	OCF -$27.1mn; contract assets $858.6mn; growth funded on balance sheet
Permit-linked revenue timing (Jupiter)	High	High	Same	10-Q: generally cannot sell to a financier until permits are in hand; hearing 7 Dec
Financier/related-party dependence	Medium	Medium-high	Up	Brookfield 26% of revenue, $195.5mn related-party receivables
Customer concentration	High	Medium	Down	Top customer 43% (73% in 2Q26)
Fleet performance and warranty	Medium	Medium	Same	Specific reserve $42.5mn (from $58.3mn); guarantee costs up $8.3mn YoY on fleet degradation
Valuation and short-seller	High	High	Same	~42x FY27 EPS at $209.80; Hunterbrook allegations unresolved

Concern → Response → Evidence

Topic	Concern	Response	Evidence
Cash conversion	Profit is piling up as contract assets and inventory, not cash.	CFO: one-quarter timing; business is 'self funding'; contract assets 'going to turn'.	Q3 OCF -$27.1mn; 9M OCF $272.9mn; deposits +$583.1mn 9M partly offset. Unproven until 4Q.
Jupiter	Pipeline (Feb 2027) and permit (7 Dec) delays push revenue out.	Not addressed on the call; guide raised anyway.	10-Q adds that air, construction, land-use and gas permits have been delayed.
FY27 bridge	No disclosed backlog behind $6.71bn.	Backlog 'faster than revenue'; figure with 4Q.	RPO $661.2mn covers about 10% of FY27 consensus; deposits $661.4mn.

7 Capital, funding and per-share impact

$mn	3Q26	2Q26	31 Dec 25
Operating cash flow (quarter)	-27.1	226.4	n.a.
Capex (quarter)	153.5	51.6	n.a.
Free cash flow (quarter)	-180.6	174.8	n.a.
Cash and equivalents	2,486.7	2,666.9	2,454.1
Recourse debt principal	2,522.8	2,527.8	2,674.8
Net cash (debt), principal basis	(39.0)	136.6	n.a.
Contract assets (total)	858.6	428.3	241.2
Customer deposits + deferred revenue	754.4	445.0	143.8
Shares outstanding (mn)	295.5	n.a.	280.0

Debt: $2.5bn 0% convertible notes due November 2030 (conversion $194.97, about 12.8mn shares) and $22.8mn 3% Green Notes due 2029; nothing drawn on the $600mn revolver, whose $90mn letter-of-credit sub-facility is fully used. No maturities in the next 24 months beyond a $3.0mn Korean JV loan. The next dollar: management says it may 'enter the equity or debt market as needed' and may use equipment lease financing for capex (10-Q). Per share: diluted weighted shares 324.3mn; the converts are in the money at $209.80, so settlement policy matters for dilution. Credit read: liquidity is ample, but Bloom now carries its buyers' working capital; a second negative cash quarter would turn the 0% notes from a cheap option into the main funding source.

→ Earnings per share are rising faster than cash per share; the gap is the financing Bloom provides to its customers' financiers.

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8 Monitoring checklist

Five signals: 4Q OCF and contract-asset conversion; Backlog figure and FY27 outlook with 4Q results; Jupiter permit (7 Dec) and pipeline (Feb 2027); Related-party (Brookfield) share of revenue and receivables; Capex run-rate and any capacity number above 5 GW.

Key risks building: Working capital funding; permit-dependent revenue timing; dependence on financing vehicles.

Confirmation signals: Positive 4Q OCF above $100mn; backlog covering more than half of FY27 consensus; clean gross margin at or above 34%.

Conviction tripwires: A second negative OCF quarter; any FY26 revenue moved into 2027 for permit reasons; new equity or secured debt to fund working capital.

Questions for owners (with whether they were asked on the call)

1. Backlog (equity). You say backlog grows faster than revenue, yet RPO is $661.2mn against FY27 consensus of $6.71bn, and you deferred any figure to 4Q. Will the 4Q disclosure show firm orders with deposits, in GW and dollars, scheduled for 2027? Do they cover more or less than half of FY27 consensus, yes or no? *Why it matters / asked: Asked by Mizuho; deflected. The share price rests on FY27.*

2. Contract assets (credit). Contract assets reached $858.6mn and receivables $634.7mn; three customers hold 70% of receivables, the largest a related party. What share is owed by Brookfield or other financing vehicles, and when do the milestones bill? Will you commit to a FY26 OCF figure? *Why it matters / asked: Asked by Evercore and Oppenheimer; partial. Profit in receivables is the first sign of a funding need.*

3. Permits (credit and equity). The 10-Q says you generally cannot sell to a financier until permits are in hand. How much of the implied $1.35bn-$1.55bn 4Q depends on permits not yet issued, and is any of it Jupiter? *Why it matters / asked: Not asked. It turns a regulatory calendar into a revenue calendar.*

4. Related party (credit). The Brookfield vehicle was 26% of 3Q revenue. What equity, guarantees or price concessions does Bloom provide to it, and what is its own funding capacity for 2027? *Why it matters / asked: Not asked. A financier's balance sheet now drives a quarter of revenue.*

5. Convertibles (credit). The 0% 2030 notes convert at $194.97, below the share price. Will you settle conversions in cash or shares, and would you use the notes' headroom or new equity to fund working capital? *Why it matters / asked: Not asked. It decides dilution versus liquidity.*

Read-across for Kona. Bloom's 10-Q makes explicit what the Jupiter story implied: financiers will not buy on-site power equipment until permits are in hand, and the supplier carries the working capital in between (contract assets up $430mn in one quarter). For Kona, the air permit and firm gas supply are financing conditions, not just construction steps, and should be in hand before equipment is ordered on credit. If Kona buys fuel cells or gensets, expect deposit-heavy terms (Bloom's customer deposits rose to $661mn from $78mn this year); if Kona sells power, Bloom's buyers show that a financier-owned, PPA-backed structure works only with a creditworthy offtaker.

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